Bloomberg P&L; Analysis

ADS GY Equity • FY2016–FY2023 • Financial Performance, Profitability & Business Mix

Data status: Synthetic classroom training data. The workbook explicitly states that the figures are generated for teaching and must not be presented as actual Bloomberg output or actual company results.

Executive Summary

This project converts a Bloomberg-style raw income-statement extract into a reproducible analytical workflow using Python, Excel and Power BI. The objective was to clean an untidy terminal-style export, reconstruct a lookup-driven P&L;, create comparable regional and segment views, analyse eight years of performance, and present the results in an executive dashboard.

Across FY2016–FY2023, revenue increased from €18,483m to €21,427m, a total increase of €2,944m or 15.9%, equivalent to a 2.13% CAGR. Revenue peaked at €23,640m in FY2019. The major weakness in the period was profitability rather than long-run revenue growth: operating margin fell from 11.1% in FY2019 to 1.7% in FY2023, while net margin moved from 7.85% to -0.15%.

The business mix also shifted materially. Retail revenue grew 66.2% from FY2016 to FY2023 and its share of revenue increased from 31.6% to 45.3%, while wholesale declined 4.5% and fell from 63.1% to 52.0% of revenue. On the comparable regional basis, North America was the fastest-growing region, rising 67.6%.

The principal management conclusion is that the long-run revenue base remained resilient, but profitability was compressed by operating-cost intensity and weaker below-EBIT economics. Distribution and selling expense rose from 21.8% to 25.8% of sales, the largest increase among the major operating-expense lines.

1. Project Objective & Analytical Workflow

The project is designed around a realistic analyst workflow: raw financial data is rarely presentation-ready, so the analyst must establish data quality before building management outputs. The project brief requires the analysis to combine Python for cleaning and reconciliation, Excel for structure and lookup-driven modelling, and Power BI for interactive storytelling.

Python — Cleaning & Restructuring

Python was used to inspect the raw extract, normalise labels, convert text-formatted financial values into numeric fields, handle placeholders and negative values, reshape the data into tidy form, and prepare data for Excel and Power BI. The cleaning stage also provided reconciliation checks and preserved source disclosures rather than silently converting unavailable values into zero.

Excel — Financial Model & Analysis

Excel was used to rebuild the P&L; as a lookup-driven model, create the comparable regional view, calculate trend and profitability ratios, analyse revenue mix and operating expenses, and produce management-oriented charts and a summary page. This structure makes the output easier to audit and refresh than a manually pasted report.

Power BI — Interactive Dashboard

Power BI was used to create an interactive executive dashboard with fiscal-year, line-item, region, category, brand and channel slicers. The dashboard combines KPI cards with trend, margin, regional, operating-expense, EPS/DPS and waterfall visuals.

2. Data Quality & Preparation

The raw workbook contains six tabs: the raw income statement, revenue by segment, revenue by geography, operating-expense detail, lookup tables and a README. The extract contains eight fiscal years in EUR millions (except per-share data). The raw layout includes title/header rows above the actual data table, two period-label rows, numbers stored as text, parentheses negatives, placeholders such as “NM” and “—”, footnote markers, subtotal rows mixed with line items, and label inconsistencies.

Most important data-quality issue

The most consequential defect is the FY2018 “Other Businesses” value shown as 986,000 in the raw income statement, while the surrounding regional/segment data supports 986 EUR million. Treating 986,000 literally would materially distort revenue mix and any aggregation using that field. The cleaning process therefore treated the value as a unit inconsistency requiring correction and reconciliation rather than as genuine revenue.

Other important handling decisions: “NM” was retained as not meaningful rather than converted to zero; “—” was treated as nil/not reported where appropriate; parentheses were converted to negative numeric values; footnote markers were separated from the underlying labels; and the regional mapping was used to create a single comparable FY2016–FY2023 regional view.

3. Eight-Year Financial Performance

Metric	FY2016	FY2019	FY2023	Key change
Revenue	€18,483m	€23,640m	€21,427m	+15.9% vs FY2016
Gross margin	48.6%	52.0%	47.5%	-4.5 pp vs FY2019
Operating profit	€1,407m	€2,620m	€355m	-86.5% vs FY2019
Operating margin	7.6%	11.1%	1.7%	-9.4 pp vs FY2019
Net income attributable	€949m	€1,855m	€-33m	Negative in FY2023

Net margin	5.13%	7.85%	-0.15%	-8.00 pp vs FY2019
Basic EPS	€4.72	€9.48	€-0.18	-€9.66 vs peak

Revenue peaked in FY2019 at €23,640m. The subsequent FY2020 decline was sharp, with revenue falling 16.1% year on year, before recovering in FY2021 and FY2022. FY2023 then declined 4.8%. Despite the overall increase from FY2016 to FY2023, the revenue trajectory was not linear.

Profitability shows a much more pronounced deterioration. FY2019 was the strongest year across revenue, operating profit and EPS, but operating profit fell by €1,817m in FY2020 to €803m. A second major decline occurred in FY2022, when EBIT fell from €1,840m to €387m. By FY2023 EBIT was €355m and basic EPS was -€0.18.

4. Profitability & Operating Expense Analysis

Gross margin reached its highest level in FY2019 at 52.0% and its lowest level in FY2022 at 47.3%, a 4.7 percentage-point spread. By FY2023 gross margin recovered slightly to 47.5%, but remained 4.5 points below the FY2019 peak.

The operating-margin decline from 11.1% in FY2019 to 1.7% in FY2023 reflects both lower gross margin and higher operating-cost intensity. Distribution and selling expense was the largest adverse mix movement, rising from 22.3% of sales in FY2019 to 25.8% in FY2023. General & administration also increased from 5.7% to 7.3%. Marketing and point-of-sale improved from 12.8% to 12.3%, partially offsetting the pressure.

Operating expense	FY2016 % sales	FY2023 % sales	Change
Marketing & point-of-sale	13.7%	12.3%	-1.4 pp
Distribution & selling	21.8%	25.8%	+4.0 pp
General & administration	5.4%	7.3%	+1.9 pp
Sundry expenses	1.0%	1.2%	+0.2 pp
Total operating expenses	41.9%	46.6%	+4.7 pp

Total operating expenses rose from 41.9% of revenue in FY2016 to 46.6% in FY2023. This is important for operating leverage: revenue grew 15.9% across the period, while the operating-cost base became heavier relative to sales. The divergence helps explain why modest revenue growth did not translate into comparable operating-profit growth.

5. Revenue Mix, Distribution & Geography

The most visible channel shift was from wholesale toward retail. Retail revenue increased from €5,841m in FY2016 to €9,706m in FY2023 (+66.2%), lifting its revenue share from 31.6% to 45.3%. Wholesale declined 4.5% over the same period, with its share falling from 63.1% to 52.0%. Other Businesses declined 40.9% and represented only 2.7% of FY2023 revenue.

Product-category detail shows footwear remaining the largest category and increasing its share from 54.5% to 58.2%. Apparel's share declined from 39.3% to 36.2%, while accessories and gear moved from 6.2% to 5.6%. Brand-level revenue requires a disclosure caveat: Reebok revenue is reported through FY2021 and is not reported from FY2022 after the stated divestiture.

Dimension	FY2016	FY2023	Change / observation
Retail share	31.6%	45.3%	+13.7 pp
Wholesale share	63.1%	52.0%	-11.1 pp
Footwear share	54.5%	58.2%	+3.7 pp
Apparel share	39.3%	36.2%	-3.1 pp
Reebok	€1,737m	Not reported	Divested effective FY2022

Comparable regional analysis

Because regional segmentation changed from FY2020, the report uses the supplied mapping to restate the pre-FY2020 regions into a comparable cluster basis. On that basis, North America was the fastest-growing region, increasing 67.6% from €3,068m in FY2016 to €5,142m in FY2023. Latin America grew 25.0%, Asia-Pacific 15.9%, Greater China 9.4%, and EMEA 2.6%. Other Businesses declined 40.9%.

For FY2019–FY2023, the largest negative regional contribution came from Greater China (-€1,471m), followed by EMEA (-€784m), while Latin America contributed +€331m and North America +€225m. The comparable regional view therefore adds more management value than simply comparing reported regional labels before and after FY2020.

6. FY2022–FY2023 Weakness: Revenue, Margin or Below the Line?

The weakness was primarily a **profitability and below-the-line problem**, not a collapse in the long-run revenue base. Revenue declined 4.8% from €22,511m to €21,427m, while EBIT declined more modestly from €387m to €355m. The larger deterioration occurred below EBIT: net financial expense worsened from -€155m to -€180m, a €25m deterioration, and tax expense increased from -€174m to -€201m.

As a result, income before tax fell from €232m to €175m and net income attributable to shareholders moved from €50m to -€33m. The effective tax rate also exceeded 100% in FY2023 at 114.9%, which is possible when tax expense is large relative to a small positive pre-tax income base. This should be presented as an unusual tax-rate outcome rather than as evidence of a normalised tax burden.

Important reconciliation note: the underlying synthetic raw extract records FY2022 EBIT at €387m and FY2023 EBIT at €355m. The Power BI insight card currently describes EBIT as flat at €355m; the report follows the underlying workbook figures for numerical accuracy.

7. Stage 9 Answers — Key Analytical Questions

Question	Answer
1. Revenue peak	FY2019 at €23,640m. FY2016→FY2023 change: +€2,944m (+15.9%).
2. Gross-margin high/low	Highest FY2019: 52.0%. Lowest FY2022: 47.3%. Spread: 4.7 pp.
3. Largest EBIT fall	FY2019→FY2020: €2,620m to €803m, a fall of €1,817m.
4. Expense line with largest share increase	Distribution & selling: 21.8%→25.8% of sales, +4.0 pp.
5. Fastest channel / region	Retail +66.2%; North America +67.6% on the comparable regional basis.
6. EPS high/low	Highest FY2019: €9.48. Lowest FY2023: -€0.18. Range: €9.66.
7. FY2022→FY2023 weakness	Primarily profitability/below-the-line: revenue -4.8%; EBIT -€32m; net financial expense worsened €25m; tax expens
8. Insight cards	Revenue peaked in FY2019; profitability compressed sharply; retail mix increased while wholesale declined.

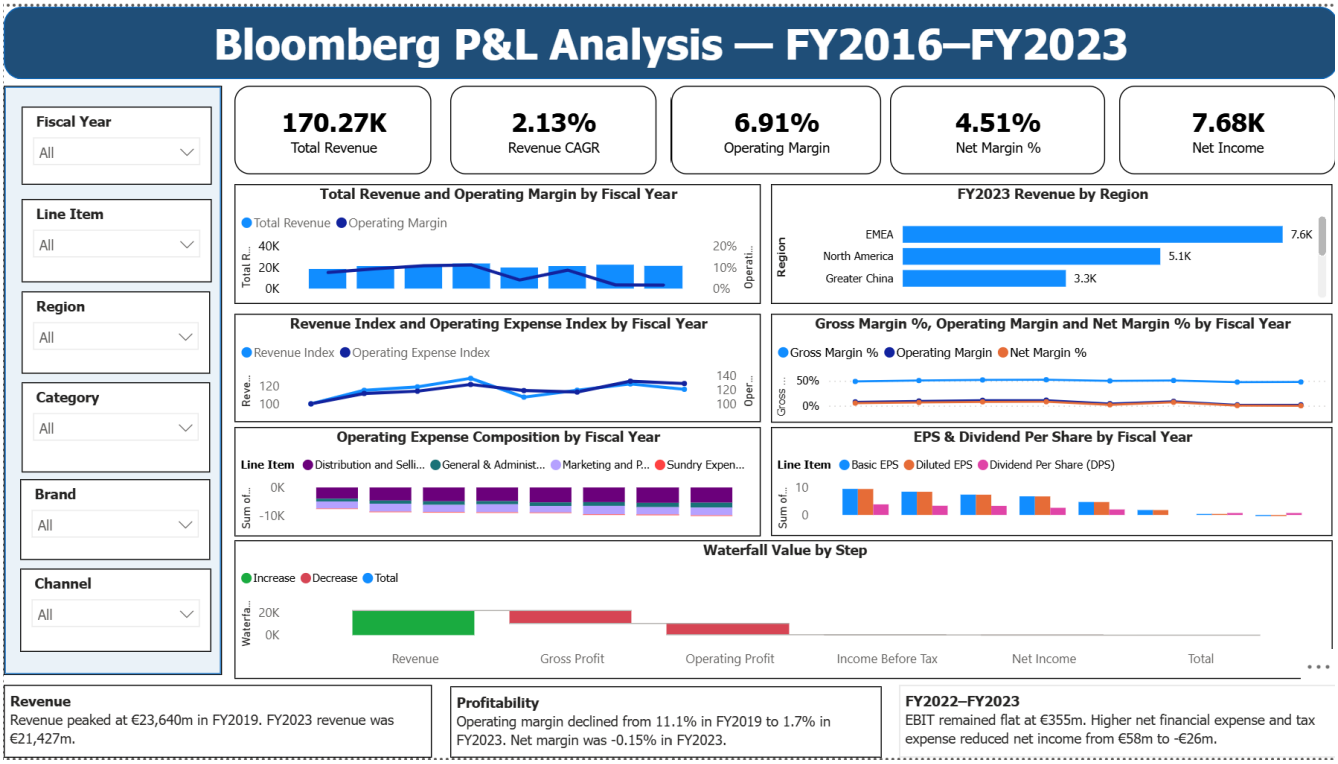
8. Power BI Dashboard & Management Use

The Power BI dashboard is designed as a one-page executive view. The top row contains five KPIs: Total Revenue, Revenue CAGR, Operating Margin, Net Margin and Net Income. A left-side slicer panel allows the user to filter Fiscal Year, Line Item, Region, Category, Brand and Channel.

The visual layer combines revenue and operating margin, FY2023 regional revenue, indexed revenue versus operating expense, the three profitability margins, operating-expense composition, EPS and dividend per share, and a P&L; waterfall. The design intentionally places high-level KPIs first, trend and diagnostic visuals in the middle, and plain-language insight cards at the bottom.

For a CFO, the most useful visual is the profitability/margin and P&L; bridge view because it shows where earnings are being lost between revenue and net income. For an external equity analyst, the full-period margin trend and indexed revenue-versus-opex view are especially useful because they expose operating leverage and the durability of earnings quality.

Final Power BI dashboard



Dashboard screenshot prepared for the portfolio deliverable.

9. One-Page Memo to the CFO

To: Chief Financial Officer

Subject: FY2016–FY2023 financial performance and priorities for the next year

Overview. The eight-year record shows a business that expanded its revenue base but did not convert that growth into sustained operating profitability. Revenue increased 15.9% from FY2016 to FY2023 and peaked at €23,640m in FY2019, but operating margin declined from 11.1% in FY2019 to 1.7% in FY2023. Basic EPS moved from a peak of €9.48 in FY2019 to -€0.18 in FY2023.

What changed. The most important structural shift is the channel mix. Retail grew 66.2% and increased its share of revenue from 31.6% to 45.3%, while wholesale declined 4.5%. This suggests a greater direct-to-consumer contribution to the revenue base. Geographically, North America was the fastest growth region on the comparable basis, up 67.6%.

Profitability pressure. The major concern is cost intensity. Distribution and selling expense increased from 21.8% to 25.8% of sales, while total operating expenses rose from 41.9% to 46.6% of sales. Gross margin also remained below the FY2019 peak. These factors reduced the conversion of revenue into EBIT.

FY2022–FY2023. The latest-year deterioration was not simply a revenue story. Revenue fell 4.8%, while EBIT declined from €387m to €355m. Below EBIT, net financial expense deteriorated by €25m and tax expense increased by €27m. Net income attributable to shareholders therefore fell from €50m to -€33m.

Two numbers to watch next year. First, monitor **distribution & selling expense as a percentage of revenue**, because it is the largest adverse operating-cost movement. Second, monitor **operating margin**, because it captures whether revenue and gross-margin improvements are actually translating into operating earnings.

Recommendation. Management should prioritise restoring operating leverage rather than pursuing revenue growth in isolation. The analysis supports a focused review of distribution and selling costs, combined with continued attention to the retail channel and North American growth. Any growth initiative should be evaluated against its incremental margin contribution rather than revenue alone.

10. Final Reflection

The single raw-data defect with the greatest potential to change the conclusions was the FY2018 Other Businesses unit inconsistency. If the extracted 986,000 value had been accepted literally, revenue mix, regional comparisons and downstream ratios could have been materially distorted.

The combined workflow made the analysis more defensible: Python established a clean and reproducible data layer; Excel provided a transparent lookup-driven financial model and reconciliation structure; and Power BI translated the validated model into an interactive management view. The result is not just a dashboard but a traceable path from messy source extract to business conclusion.

Portfolio disclosure: This project uses synthetic training data designed to mimic a Bloomberg-style export. It should be described as a portfolio/learning project and not as actual Bloomberg data or actual company financial results.